

NICHE BOOK PROFITS

KDP Royalty & Pricing Worksheet

What you actually keep on every paperback and hardcover --
worked out before you set a single price.

On KDP, your list price is not your income. Amazon pays a percentage of the list price and then subtracts the cost of printing the book -- and printing is charged on every single copy, whether you planned for it or not. This worksheet shows the exact math, works three examples at real-world prices, and gives you a table to run your own titles through.

The Two Formulas

- 1. Paperback royalty = 60% of list price, minus printing cost. Example shape: a \$10.00 paperback starts at \$6.00, and whatever printing costs comes straight off that \$6.00.
- 2. Hardcover royalty = 50% of list price, minus printing cost. The hardcover percentage is lower, but hardcovers carry higher list prices, so run the numbers per title instead of assuming paperback wins.
- 3. Printing cost depends on page count, trim size, and black & white vs. color interiors. It is fixed per copy: the same cost comes off a sale at \$14.99 as off a sale at \$7.99. That single fact drives everything below.

Every printing cost in this worksheet is a realistic estimate for a US marketplace book, included so you can learn the math. Your exact printing cost is shown in KDP when you publish -- on the pricing step, before the book goes live. Always verify there, because KDP can and does update printing costs.

Worked Example, Step by Step

A 120-page black & white paperback listed at \$9.99:

- 1. Royalty share: 60% of \$9.99 = \$5.99.
- 2. Printing cost (estimate): about \$3.35 for this page count and size.
- 3. Your royalty: \$5.99 - \$3.35 = \$2.64 per copy sold.

Same method, three formats and page counts (all figures rounded to the nearest cent; printing costs are the estimates described above):

Book (all B&W interiors)	List price	Your share	- Printing (est.)	= Your royalty
Paperback, 120 pages	\$9.99	\$5.99 (60%)	\$3.35	\$2.64
Paperback, 240 pages	\$12.99	\$7.79 (60%)	\$4.85	\$2.94
Hardcover, 150 pages	\$19.99	\$10.00 (50%)	\$6.40	\$3.60

Notice the 240-page paperback: more than double the pages of the first book, yet it earns only 30 cents more per sale at \$12.99 -- the extra pages raised the printing cost almost as fast as the higher price raised the royalty. Page count is a pricing decision, not just a content decision.

The Price Ladder: Same Book, Four Prices

Hold the book still -- the same 120-page black & white paperback, same estimated \$3.35 printing cost -- and move only the price. Watch what happens to the royalty:

List price	60% share	- Printing (est.)	= Your royalty	Copies to earn \$100
\$7.99	\$4.79	\$3.35	\$1.44	70
\$9.99	\$5.99	\$3.35	\$2.64	38
\$12.99	\$7.79	\$3.35	\$4.44	23
\$14.99	\$8.99	\$3.35	\$5.64	18

Doubling the price from \$7.99 to \$14.99 nearly quadruples the royalty, because the printing cost never moves. The copies column is the flip side: at \$7.99 you must sell 70 copies to earn what 18 copies earn at \$14.99.

Your Turn: Price Your Own Book

Look up each book's real printing cost on the KDP pricing step, then fill in one row per format. Work left to right: share first, printing off, royalty left.

Book / format	List price	Rate (60% / 50%)	- Printing cost	= Your royalty

Why Pricing Too Low Starves the Book

Drop that same 120-page paperback to \$6.99 and the math turns bleak: 60% of \$6.99 is \$4.19, minus \$3.35 printing leaves \$0.84 a copy. You would need to sell more than three copies to earn what one copy pays at \$9.99. Go lower still and you hit the floor: at about \$5.58 the royalty share equals the printing cost and the royalty is \$0.00 -- which is why KDP enforces a minimum list price. There is no

traffic trick that rescues a book whose royalty is pennies; low-content buyers shop by cover and topic far more than by a dollar's difference. Dropping from \$9.99 to \$7.99 cuts your royalty by about 45% (\$2.64 down to \$1.44), so you would need over 80% more sales just to stand still. Price for the royalty you need, and let the cover earn the click.

Price from the royalty backwards. Decide what one sale must pay you, add the printing cost, then divide by 0.60 for paperback (0.50 for hardcover). Want \$3.00 a sale on a book that costs \$3.35 to print? $(3.00 + 3.35) / 0.60 = \$10.58$ -- so list at \$10.99, where a sale actually pays \$3.24, not at \$8.99 and hope.